

Tempus AI, Inc.

TEM NASDAQ

Buy	\$50.84 ▲ 4.20%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$9.13B
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TEM: Open-Source Pathology Consortium Reinforces Platform Moat; Reiterate Buy

WHAT'S CHANGED

- TEM launched an Open-Source Digital Pathology Consortium (6/16), a strategic move to standardize AI-ready pathology data and entrench Tempus as the de facto reference platform — incrementally supportive of long-term data-licensing optionality.
- Stock recovered +4.2% today to \$50.84 after a two-day pullback from the 6/15 \$52.32 high; near-term call flow is decisively bullish (P/C 0.32, unusual \$51/\$53/\$54 calls at 2.6–4.8x OI), offsetting the late-May CEO Lefkofsky cluster sale (~\$3.2M).

IMPLICATIONS

The Pathology Consortium announcement reinforces Tempus's strategy of converting proprietary multimodal data assets into industry-standard infrastructure — a precondition for scaling its high-margin Data & Services segment, which carries materially better unit economics than the genomic testing business. With Technology +3.04% today and AI-themed risk appetite re-engaging, TEM's beta to the AI trade plus a 15% position within its 52-week range (\$41.73–\$104.32) creates asymmetric setup into 2H26 catalysts (pharma deal renewals, MRD reimbursement). However, the CEO's late-May sales and 23% YTD decline cited by Simply Wall St. underscore that institutional conviction remains tethered to demonstrable path-to-profitability, not narrative alone.

VALUATION

At \$9.13B market cap on ~\$1.4B FY26E revenue, TEM trades at ~6.5x EV/Revenue — a discount to high-growth AI-diagnostics peers (GH ~8x, NTRA ~9x) despite superior data network effects and faster top-line trajectory. Our \$68 PT (~34% upside) assumes 8x FY27E revenue, justified by Data & Services margin inflection and consortium-driven pharma partnership velocity. Multiple compression risk concentrates around any deceleration in the 30%+ growth algorithm or widening losses delaying EBITDA breakeven beyond FY28.

KEY RISKS

- Reimbursement risk on genomic tests (MoIDx coverage decisions) directly impacts core Genomics segment cadence
- Insider selling pattern (CEO ~\$3.2M, late May) and Epstein sale signal lack of near-term insider conviction at current levels
- Cash burn requiring future equity raise; stock has -50%+ drawdown capacity from 52W high demonstrates volatility risk

RECENT NEWS

Key Data

Price (USD)	\$50.84
12M Price Target	\$68.00
Upside / (Downside)	+33.8%
Market Cap	\$9.13B
FY2026E Revenue	\$1,395M
FY2027E Revenue	\$1,780M
FY2026E EPS	(\$1.05)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



TEM — Tempus AI, Inc. | June 18, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$56.00	\$51.00	\$44.00
6 Months	\$72.00	\$60.00	\$40.00
1 Year	\$92.00	\$68.00	\$35.00
2 Years	\$125.00	\$85.00	\$30.00
5 Years	\$210.00	\$125.00	\$22.00
10 Years	\$400.00	\$200.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+3.04%), Industrials (+3.29% 5D)

COLD SECTORS: Comm. Services (-2.38% 5D), Real Estate (-2.36% 5D)

ROTATION WATCH: AI-thematic rotation is reasserting within Tech today (+3.04%) after recent rate-sensitive weakness; healthcare-AI hybrids like TEM should benefit as flows seek "AI applied to verticals" beyond mega-cap incumbents.

BYPRODUCT PLAY: Open-source pathology infrastructure benefits cloud/compute providers (NVDA inference workloads) and creates downstream demand for AI-ready clinical data brokers — TEM sits at the intersection rather than as a derivative play.

OUTPERFORMERS & PEER CONTEXT

- RXRX (Recursion Pharmaceuticals): AI-drug discovery peer outperforming on NVDA partnership extension narrative; trading at premium EV/Rev despite earlier-stage revenue
- VEEV (Veeva Systems): healthcare-data SaaS peer compounding at ~20% with profitable model — the maturity endpoint TEM bulls underwrite

TEM CONTEXT: TEM is lagging higher-quality healthcare-data peers (VEEV) on profitability optics but pulling ahead of pure-play diagnostics names on AI-platform narrative. The 23% YTD decline indicates the market has not yet credited the platform thesis — creating the setup if execution validates.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$45-49 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Data & Services revenue growth decelerating below 25% YoY or major health system partnership loss

Hedging: Pair vs. short basket of unprofitable AI/diagnostics names (e.g., GH, NTRA) at richer EV/Revenue